

the upside. Its “book,” which is Wall Street lingo for its own financial interests, or its book of trading positions, wants you to believe that “investing” pays off. This is regarded as a matter of common knowledge. It is a “fact.” Yet it often isn’t true. And if you mean “investing” the way most people invest, it usually isn’t true.

Regarding family money, many of the other things that people take for granted should be taken out and examined more closely. Often, we find they are absurd, incorrect, or counterproductive.

A HISTORY OF FAMILY WEALTH

But let us begin our story in the beginning. . . .

Reaching back into history, what do we find? In what institution did people most often put their faith and their money? The government? Banks? Mutual funds? Lawyers? Clubs? The Church?

People made many different arrangements, depending on what was going on at the time. But the institution that most commonly held and allocated wealth was the family. We say that without any real proof. But it seems self-evident. Most people never had much real wealth. The little they had was what they lived.

When society reached the stage at which a significant accumulation of wealth was possible, it too was naturally focused on the family. The earliest records tell the story of people who tried to pass along wealth—and often power—to children. Often, these are sad stories. Of course, that’s what makes them good stories. A story needs adversity, something to overcome. And the transfer of wealth and power was fraught with trial and tribulation. Frequently, it was a tragedy, not a comedy.

Families began figuring out ways to control family wealth, and its passage from one generation to the next, as soon as they had enough to worry about. Inheritance issues are frequent sources of conflict in the Bible: Who gets what. Why. And when.